

# ADVANCED COLLEGE ACCOUNTING (115) —Post-secondary— **NATIONAL – 2019**

**Multiple Choice:**

Multiple Choice (15 @ 2 points each) \_\_\_\_\_ (30 points)

**Problems:**

Problem 1: Bonds \_\_\_\_\_ (57 points)

Problem 2: Journal Entries \_\_\_\_\_ (40 points)

Problem 3: Financial Statements \_\_\_\_\_ (60 points)

***TOTAL POINTS (187 points)***

**Failure to adhere to any of the following rules will result in disqualification:**

- 1. Contestant must hand in this test booklet and all printouts. Failure to do so will result in disqualification.**
- 2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests or facsimile (handwritten, photocopied, or keyed) are allowed in the testing area.**
- 3. Electronic devices will be monitored according to ACT standards.**

No more than ten (10) minutes orientation  
No more than ninety (90) minutes testing time  
No more than ten (10) minutes wrap-up

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## General Instructions

You have been hired as a Financial Assistant and will be keeping the accounting records for Professional Business Associates, located at 5454 Cleveland Avenue, Columbus, Ohio 43231. Professional Business Associates provides accounting and other financial services for clients. You will complete jobs for Professional Business Associates' own accounting records, as well as for clients.

You will have ninety (90) minutes to complete your work. The test is divided into two parts. The multiple choice and short-answer questions should be completed first, then the accounting problems may be completed in any order.

Your name and/or school name should *not* appear on any work you submit for grading. Write your contestant number in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when completing this assessment:

GAAP

Round to two decimal places unless otherwise instructed

Percents rounded to the tenth percent (Ex: 22.8%)

Perpetual Inventory

**MULTIPLE CHOICE**

Identify the letter of the choice that best completes the statement or answers the question.

1. The two investment categories which recognize fair value on the financial statements are
  - a. Held-to-Maturity and Equity.
  - b. Held-to-Maturity and Available for Sale.
  - c. Trading and Available for Sale.
  - d. None of the above.
2. Which category of investments demonstrates significant influence over the investee?
  - a. Held to Maturity
  - b. Trading
  - c. Available for Sale
  - d. Equity
3. Recognition of fair value for investments is reported on which financial statement?
  - a. Income Statement
  - b. Balance Sheet
  - c. Income Statement and Balance Sheet
  - d. None of the above.
4. Record the entry for a line of credit when
  - a. it is established.
  - b. actually borrowing the money.
  - c. recording the payment.
  - d. When signing the contract.
5. Accrued liabilities are:
  - a. Expenses not yet paid.
  - b. Expenses paid in advance.
  - c. Revenues not yet received.
  - d. Revenues paid in advance.
6. A 3-year note payable for \$2,500,000 has a debt covenant that requires the lender to maintain a 1.5 minimum Current Ratio. The company has dropped below this ratio and is talking with the bank to give them 3 months to correct the situation. This note would be listed as a(n):
  - a. Contingent Liability
  - b. Current Liability
  - c. Long-Term Liability
  - d. Accrued Liability
7. When are gain contingencies recorded?
  - a. When gain is probable.
  - b. When gain is measurable.
  - c. When gain is probable and measurable.
  - d. None of the above.

8. Callable bonds means that the
  - a. issuing company can pay off the bonds early.
  - b. purchasing company may require prepayment early.
  - c. issuing company has secured the bonds with collateral.
  - d. purchasing company may convert the bonds to stock.
9. Another term for Zero Coupon bonds is
  - a. Serial bonds.
  - b. Junk bonds.
  - c. Deep discount bonds.
  - d. Debenture bonds.
10. What are debt issue costs?
  - a. The costs of issuing any debt.
  - b. The costs of having someone else sell your bonds.
  - c. The costs of having a premium on bonds.
  - d. The cost of having a discount on bonds.
11. Executory costs are:
  - a. Costs incurred at the executive level.
  - b. Costs incurred for maintenance fees.
  - c. Costs incurred for executing contracts.
  - d. Costs incurred for leases.
12. Other Comprehensive Income (OCI) includes the following:
  - a. Net Unrealized Holding Gains (Losses) on Trading Securities
  - b. Gains (Losses) from Pension Plans
  - c. Gain (Losses) from the sale of Long-Term Plant Assets
  - d. All of the above
13. Treasury Stock is
  - a. Part of the paid in capital section of the Balance Sheet.
  - b. Part of retained earnings section of the Balance Sheet.
  - c. Added to the stockholders' equity section of the Balance Sheet.
  - d. Subtracted from the stockholders' equity section of the Balance Sheet.
14. What does it mean when retained earnings are restricted?
  - a. The restricted retained earnings cannot be used for any specific purposes.
  - b. The restricted retained earnings has a debit balance.
  - c. The restricted retained earnings cannot be used for dividends.
  - d. None of the above.
15. Diluted earnings per share take into consideration
  - a. Stock options.
  - b. Stock Warrants
  - c. Convertible securities
  - d. All of the above.

### Problem 1: Bonds (57 Points)

**Use the following information to prepare the appropriate journal entries.**

Chaney Corporation issues 10-year, 6% semi-annual bonds with a face value of \$300,000 on January 1, 2019, when the market interest rate is 7%. Calculate the sales price and prepare the following journal entries with the appropriate dates. Round all calculations to the nearest dollar.

- Issuance of bonds
- First interest payment using the effective interest rate method
  - Present value factors  $n=20$   $i=3.5$ :
    - Present value of \$1 .50257
    - Present value of an annuity 14.21240
- Retirement of bonds at maturity

[illegible]

**Problem 2** Record the following selected transactions in general journal form for the McCann Dewonder Corporation. A journal is provided on the next two pages; if no entry is required, write "No Entry". Round all calculations to the nearest whole number.

- Jan. 25 Negotiated with the bank for a \$2,000,000 line of credit at 8% interest.
- Feb. 15 The engineering department notified management that due to a defective part in our product we will need to recall 100,000 units sold last year. The investigation indicates the recall is estimated to cost the company \$895,000.
- Mar. 30 Borrowed \$800,000 from the established line of credit for 60 days.
- Apr. 15 Estimated taxes of \$95,000 is paid to the government.
- May 30 Repaid the amount borrowed plus interest from the line of credit.
- Jul. 15 Record the following payroll information to be paid on July 25, assume no employees have exceeded any wage limits:
- |                    |           |
|--------------------|-----------|
| Salaries           | \$290,000 |
| Federal Income Tax | 58,000    |
| Social Security    | 6.2%      |
| Medicare           | 1.45%     |
- Sep. 22 The board of directors announced a common stock split of 5 to 1. After the split, there are 130,000 shares issued and outstanding with a par value of \$2.00 per share.
- Nov. 28 Declared a cash dividend of \$0.20 per share on common stock to be paid on Dec. 15.
- Dec. 15 Paid the cash dividends.

## General Journal

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[illegible]

**Problem 3: Financial Statements (60 points)**

**Use the following information excerpted from DDevers December 31, 2018, Adjusted Trial Balance to answer questions 1-15:**

|                                    |          |
|------------------------------------|----------|
| Accounts Payable                   | \$73,000 |
| Accounts Receivable                | 114,000  |
| Accumulated Depreciation           | 7,000    |
| Administrative Expenses            | 118,000  |
| Bonds Payable                      | 53,000   |
| Buildings                          | 300,000  |
| Cash                               | 29,000   |
| Common Stock                       | 186,000  |
| Cost of Goods Sold                 | 513,000  |
| Discount on Bonds Payable          | 3,000    |
| Income Tax Expense                 | 33,000   |
| Merchandise Inventory              | 113,000  |
| Notes Payable (due in 20 months)   | 18,000   |
| Prepaid Expenses                   | 13,000   |
| Retained Earnings, January 1, 2014 | 122,000  |
| Sales                              | 910,000  |
| Sales Returns                      | 28,000   |
| Selling Expenses                   | 126,000  |
| Supplies                           | 6,000    |
| Unearned Revenue                   | 27,000   |

1. What is Net Sales?

Net Sales \_\_\_\_\_

2. What is Gross Profit?

Gross Profit \_\_\_\_\_

3. What is total Operating Expenses?

Operating Expenses \_\_\_\_\_

4. What is Income Before Taxes?

Income Before Taxes \_\_\_\_\_

5. What is Net Income?

Net Income \_\_\_\_\_

6. What is total Current Assets?

Current Assets \_\_\_\_\_

7. What is total Assets?

Total Assets \_\_\_\_\_

8. What is total Current Liabilities?

Current Liabilities \_\_\_\_\_

9. What is total Long-Term Liabilities?

Long-Term Liabilities \_\_\_\_\_

10. What is total Stockholders' Equity?

Stockholders' Equity \_\_\_\_\_

11. What is Working Capital?

Working Capital \_\_\_\_\_

12. What is the Current Ratio?

Current Ratio \_\_\_\_\_

13. What is the Gross Profit (Gross Margin) Percentage?

Gross Profit Percentage \_\_\_\_\_

14. What is the Debt Ratio?

Debt Ratio \_\_\_\_\_

15. What is the Debt-to-Equity Ratio?

Debt-to-Equity Ratio \_\_\_\_\_